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Flexport sells former freight unicorn Convoy's tech 2 years after buying it



Two years ago, logistics company Flexport [bought the assets of Convoy](#), a former freight tech unicorn that had closed up shop. Now it's sold that platform and delivered a “massive return on investment for Flexport.”

Flexport announced the sale on Monday to DAT Freight & Analytics but declined to disclose terms.

“Over the past 18 months, we rebuilt and relaunched the [Convoy] platform as a neutral digital freight execution layer that serves brokers, carriers, and shippers across the market,” Flexport founder and CEO Ryan Petersen said in a statement. “That investment paid off. The platform is now stronger, more widely used, and far more valuable than when we acquired it. As the Convoy Platform matured, it was clear that to achieve its full potential, it needed to be a neutral infrastructure layer.”

Petersen wrote that the sale of Convoy’s tech will allow his company to “focus our capital and energy on our core business” of helping customers move freight around the world.

The sale comes just a few months after Flexport announced the rollout of a suite of AI-powered tools, and a plan to launch waves of new products for its customers twice a year — an [approach inspired by Airbnb CEO Brian Chesky](#).

Flexport told TechCrunch at the time that the second product release will come in “late summer.”

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Sean O'Kane

Sr. Reporter, Transportation |

Sean O’Kane is a reporter who has spent a decade covering the rapidly-evolving business and technology of the...

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Flexport acquires technology of former digital freight unicorn Convoy

Rebecca Bellan — 6:41 PM PDT · November 1, 2023

Supply chain logistics platform Flexport is acquiring the assets of shuttered digital freight network Convoy, according to a memo Flexport CEO Ryan Petersen sent to staff Wednesday.

IMAGE CREDITS: CONVOY

Flexport will restore Convoy's trucking logistics services for customers in the coming weeks, [according to the memo](#), shared by Freight Waves. Petersen said Flexport won't acquire the business or any of its liabilities, but does plan to retain "a small group of team members from their core product and engineering team."

Convoy co-founder and CEO Dan Lewis might be one of the team members joining Flexport, reports

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be limited to what's necessary to maintain the tech." When Petersen took back the CEO title in October after his [successor was pushed out](#), the executive's big message was about getting Flexport's finances back in order. He had criticized former CEO Dave Clark for overspending on hiring and expansion. Since stepping back into the CEO role, Petersen has overseen a plan of cost cutting, including [laying off about 20% of its workers](#), or around 600 people.

With that cost cutting also comes a need for Flexport to claw its way back to profitability, and offering a better service is one way to do that.

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“We made today’s acquisition not just because of the incredible tech stack that Convoy built,” wrote Petersen. “We have heard from our customers that they want Flexport to be a one-stop shop for all their logistics needs.”

Convoy’s customer base could be a boon to Flexport’s service as well. The once-promising startup boasted more than 400,000 truck drivers and 80,000 carriers in its network, and its tech stack includes “sophisticated procurement technology that fully automates the supply side for 98% of loads booked,” said Petersen. He noted the tech could help Flexport lower carrier costs.

Petersen also laid out how Flexport will approach the business differently than Convoy and other large truck brokerages that have focused on scaling quickly by pursuing big Fortune 500 accounts. That type of scale led to complexity and burn, says Petersen, which made it difficult for Convoy to turn a profit. Convoy’s operating position also was hit by the current freight recession.

In the future, Flexport will offer a full range of trucking services to customers, “including FTL, LTL, drayage (ocean) trucking, cartage (airport) trucking, and eventually intermodal (rail) trucking services to customers of our international freight forwarding services,” said Petersen.

[Why Convoy’s Dan Lewis expects digital freight to go mainstream within the year](#)

Topics: [Convoy](#) [Flexport](#) [Ryan Petersen](#) [Startups](#)

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Rebecca Bellan

Senior Reporter | ✕ 🦋

Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk's broader empire,...

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Time for moderation?

Anna Heim — 10:00 AM PST · November 18, 2023

Welcome to the TechCrunch Exchange, a weekly startups-and-markets newsletter. It's inspired by the [daily TechCrunch+ column](#) where it gets its

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name. Want it in your inbox every Saturday? Sign up [here](#).

Does freight logistics need a one-stop shop? That's Flexport's take, and maybe that's one of the reasons why Convoy didn't work out; however, it might be too early for this approach in Latin America. On a different note, investors still seem willing to support startups that help people drink less alcohol, as long as there's AI involved.

By the way, this newsletter will be taking a break next week, but I'll be back December 2.— [Anna](#)

Lessons to learn?

Entrepreneurs often write postmortems after shutting down or selling their companies, but it is less common for these lessons to be drawn by their acquirers as well. Yet, that's what happened to Convoy, a failed digital freight unicorn [whose tech backbone](#) — including a few team members — is being acquired by Flexport.

Flexport acquires technology of former digital freight unicorn Convoy



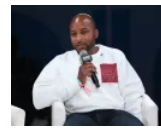
Supply chain logistics platform Flexport is acquiring the assets of shuttered digital freight network Convoy, according to a memo Flexport CEO Ryan Petersen sent to staff Wednesday. Flexport will

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In a [memo](#) quoted by FreightWaves, Flexport CEO Ryan Petersen made it clear that while he was keen on buying Convoy because of the “incredible tech stack” it built, he was not buying its strategy.

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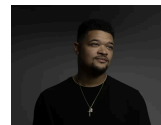
 Figma's IPO success is 'a little bit of a meme stock,' says Sapphire Ventures' Jai Das

Rebecca Bellan,

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Dominic-Madori Davis

- 16 hours ago



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“Our strategy for the trucking business unit will be very different from Convoy’s or other large truck brokerages who have focused on driving immense scale by pursuing the biggest Fortune 500 FTL accounts,” Petersen wrote. ([Full truckload](#), or FTL, is a shipping modality in which a truck’s journey is reserved for one shipment only.)

Petersen has a theory as to what can go wrong with this approach, especially now. “With that scale came complexity and burn, and in a highly competitive market with low barriers to entry, even with all of Convoy’s incredible tech, they were not able to reach the scale required to turn a profit. Their operating position was made much worse by the current freight recession.”

In a LinkedIn comment before the Flexport deal became news, Convoy CEO Dan Lewis [said](#) the company had prospective buyers, but “a freight recession adding to burn and weakening our suitors played a role” in ultimately making it impossible for the company to fully sell itself on time.

Unlike previous suitors may have, Flexport isn't buying Convoy's business or liabilities. Neither will it rescue most of its [laid-off staff](#). It is unclear exactly how many former Convoy employees Flexport is hiring, but it will be a small number, and even smaller than some had hoped.

"For two short weeks after the Convoy collapse and associated layoffs, [I was one of the 20 software engineers](#) selected to be on the transition team. However, towards the end of the deal-making process with Flexport, Convoy Go (our Drop & Hook program) was not considered a desirable asset in the acquisition and my team was left out," former Convoy employee Neha Deshpande revealed.

Recapping the [recent context](#) at Flexport, my colleague Rebecca Bellan helped me understand why the company was showing restraint and not hiring all available talent:

When Petersen took back the CEO title in October after his [successor was pushed out](#), the executive's big message was about getting Flexport's finances back in order. He had criticized former CEO Dave Clark for overspending on hiring and expansion. Since stepping back into the CEO role, Petersen has overseen a plan of cost cutting, including [laying off about 20% of its workers](#), or around 600 people.

Flexport kicks off restructuring with layoffs



Flexport founder Ryan Petersen said in September — in the wake of his hand-picked CEO's sudden departure — that the logistics company needed to get its house in

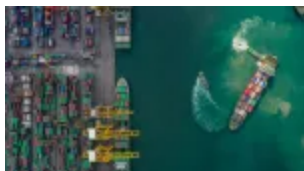
order. It started with Petersen rescinding dozens of employment offers and looking to lease out the company's office space as it looks to get costs under control. ... [Continue reading](#)

Why bother buying Convoy at all, then? Per Petersen’s memo: “We have heard from our customers that they want Flexport to be a one-stop shop for all their logistics needs.”

While there is some spending involved, offering a full range of trucking services to customers could be a winning strategy. As Rebecca noted: “With [its] cost cutting also comes a need for Flexport to claw its way back to profitability, and offering a better service is one way to do that.”

But I am no freight expert, so I reached out to one: Luis Fernando Ortiz, the Bolivian entrepreneur who runs [DeltaX](#), one of the [Latin American freight-forwarding startups](#) I wrote about in 2022.

Why Latin America’s freight-forwarding opportunity is still attracting capital



Amid a pandemic and unrest over gasoline prices, investors are still pouring money into Latin America’s logistics and shipping businesses.



TechCrunch



In his view, not pursuing solely the Fortune 500 FTL accounts has pros and cons. “The strategy of targeting medium or small businesses/shippers makes sense to diversify the portfolio and improve gross margins, but on the other hand it represents an operational risk that can damage the carriers’ experience due to the low level of process standardization that companies/shippers have in those segments, which results in delays or cancellations for the carrier,” Ortiz told me (translation mine).

Would a one-stop-shop strategy like Flexport’s be a fit for Latin America, too? For Ortiz, this approach

makes sense in his region as well, but in a second phase that hasn't started yet. "At the moment, most of the players like DeltaX are still focused on building the technology and liquidity of cargo and trucks, to later optimize by type of customers, commodities or routes."

If Flexport truly wants to let its clients "ship any product, in any quantity, between any two places in the world," more acquisitions may eventually be in order — beyond North America, and beyond tech stacks. But that will likely have to wait until Petersen's company is back to profitability.

Saving booze money

If you fear waking up on Black Friday more hungover than you wished, you are not alone. Out of the 146 million U.S. adults who drink alcohol, 47% want to cut back, according to [Sunnyside](#), a startup that promises to help people reduce their drinking "with no pressure to quit."

Also known as mindful drinking, this approach is not designed to treat [alcohol use disorder](#). However, Sunnyside promises that while it focuses on small changes, it brings benefits such as "improved sleep, a healthier diet, money saved and an overall improved sense of well-being."

In order to save money, users will have to spend some; Sunnyside's basic subscription tier costs \$99 per year, a similar price range to its competitor [Reframe](#), a [Y Combinator Summer 2021 alum](#) that also supports alcohol intake reduction. But Sunnyside suggests it's worth the cost, with subscribers saving some \$50 in their first month of signing up.

Investors, too, seem to think the value proposition makes sense: Sunnyside raised [an \\$11.5 million Series A round of funding](#), TechCrunch reported. The

funding will support the launch of Sunnyside’s AI mindful drinking coach, ChatGPT-based Sunny, which will generate recommendations for its human coaches.

[Mindful drinking app Sunnyside lands \\$11.5M to launch its AI-powered coach](#)

Reframe had secured a [similarly sized round](#) in 2021, but considering how much the market has changed since then, it is reassuring to see that there is still capital available for sobriety-focused bets with a dose of AI. Let’s hope it can help those who wish to keep their drinking under control this holiday season, or support them through Dry(ish) January.

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Anna Heim

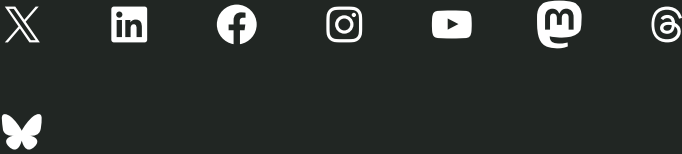
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